Third, in thinking about which securities are identical (or very similar) to each other, live data feeds, enormous computational power, and more sophisticated modeling of contingent claims have taken us much further than Graham and Dodd could have imagined. In their writing, they focused on the most likely scenarios, but now we have ways to imagine and model many scenarios beyond just the most likely ones. The forward march of technology has allowed us to build sophisticated models that were not available in the slide rule era. It has allowed us to aggregate these securities in portfolios and look at the cash flows alone or in combinations. It also allows us to stress-test individual securities, capital structures, and even entire portfolios of securities. We can compare the distribution of outcomes implied by one security to those of another security. Moreover, we can price options using any distribution we can define.

Fourth, we know that while prices of identical or nearly identical securities often eventually converge, they may take a long time to do so, and in fact they may further diverge before they correct. Arbitrage, even of identical securities, is not riskless in the short run. It is wise to diversify one's holdings. The problem deepens when financial crises and other dislocations create unexpected and artificial correlations in the movements of unrelated securities. Leverage, including through the use of derivatives, can both magnify the problem or allow the manager to implement useful hedging arrangements. Even with perfect arbitrage, one can only make money on average, not always.

Finally, at a somewhat broader level, Graham and Dodd's strategies point to the value of arbitrage strategies of the sort they envisioned for a long-term investor. That's because, at least in the medium term, the returns on these strategies are uncorrelated with those on other parts of the portfolio. As Graham and Dodd taught us, you cannot predict the movements of the market. For a sophisticated